

relevant to you now, but in the future they could matter. Co-ops often have more stringent rules than condos. You should consider asking for a copy of your condo or co-op association’s bylaws, which regulate everything from outdoor gas grills to when you can put out your garbage.

FIGURE 7-1						
GETTING A HANDLE ON YOUR MONTHLY MORTGAGE PAYMENTS						
First, locate the price of the home you're thinking about buying in the lefthand column. Now look to the far right and find the approximate interest rate a lender would charge you for a thirty-year fixed-rate mortgage. As you can see, regardless of the interest rate on your mortgage, you'd have a lower monthly payment with a 20% down payment than with 5% down.						
Keep in mind that this table includes only principal and interest payments, not property taxes, homeowners insurance, or PMI. The following rules of thumb will help (roughly) estimate these costs: Annual property taxes are typically between 1% and 3% of the cost of a home; PMI amounts to about 0.5% to 0.75% of your total annual mortgage costs, and homeowners insurance can range from \$400 to \$1,000 a year. These extra costs can vary dramatically, depending on where you live and the amount of your mortgage. For more precise estimates, ask a lender or a local real estate agent.						
Cost of Home	Down Payment		Monthly Mortgage Payment with Interest Rates of:			
	%	\$	4%	6%	8%	10%
\$100,000	5%	\$ 5,000	\$ 454	\$ 570	\$ 697	\$ 834
	10%	10,000	429	540	660	790
	20%	20,000	382	480	587	702
\$150,000	5%	7,500	680	855	1,046	1,251
	10%	15,000	645	810	991	1,185
	20%	30,000	573	719	881	1,053
\$200,000	5%	10,000	907	1,139	1,394	1,667
	10%	20,000	859	1,079	1,321	1,580
	20%	40,000	764	959	1,174	1,404
\$300,000	5%	15,000	1,360	1,709	2,091	2,501
	10%	30,000	1,289	1,619	1,981	2,369
	20%	60,000	1,146	1,439	1,761	2,106
\$400,000	5%	20,000	1,814	2,278	2,788	3,335
	10%	40,000	1,719	2,158	2,642	3,159
	20%	80,000	1,528	1,919	2,348	2,808
\$600,000	5%	30,000	2,721	3,417	4,182	5,002
	10%	60,000	2,578	3,238	3,962	4,739
	20%	120,000	2,292	2,878	3,522	4,212
Source: Fannie Mae						



LOANS TO DISCUSS WITH YOUR LENDER

There are several mortgage options out there. Lenders might not tell you about all of them, so it’s up to you to find out what you qualify for. Here are some of the choices: